



Figure 16.3 Price turned down at D but doesn't drop far when price continues rising.

The stock recovers and breaks out upward at F, staging an upward breakout of the butterfly pattern and seeing price soar to a new high. The rounded bottom completes and price rises about ten points above the high put in at H.

The stock forms a very pretty head-and-shoulders top as the chart shows. The pattern confirms as valid when price closes below the neckline (the near-horizontal line). A pullback at I allows traders a small amount of time to recognize the bearishness of the head-and-shoulders top before the drop begins.

After the pullback ends, down the stock goes, plunging like a cliff diver into the October water.

If I were to short a stock, the drop from I is the kind of bearish move I would love to see, not the meager drop from D.

This bearish butterfly fails because price drops less than or equal to 5% from the peak at D. The meager decline is what I call a 5% failure.

As timely as the bearish head-and-shoulders is, a bullish double bottom appears at AC, signaling an upward move. Notice that C is slightly above A.